Baxter 1983 – Baxter Management Private information
Public information

Given changes in the conditions in the labor market and a clause in the 1978 contract, Baxter can if it wishes raise the issue of setting a new wage. If the two sides cannot agree on this issue it goes to an arbitrator.

The arbitrator is a random draw:

- With probability p he rules for Baxter. In this case, the wage will be set at $8.67 per hour, the average of three highest paid industry leaders.

- With probability 1-p he rules for Local 190. In this case, the wage remains at 1978 negotiated wage per hour.

Private information

Upper management is confident the arbitrator will side with Baxter Management. Their guess is that p is between 2/3 and 3/ 4.

The results of the 1983 negotiation will be scored as follows: After all cohorts have negotiated or arbitrated a wage, the (new) average cohort wage will be calculated. For every 1 percentage point your settled upon wage differs from the new average, 1 point will be added to (deducted from) your 1978 score.